morning, accepting to repay ₹10,200 at the end of the day. That would be 2 per cent interest per day, or between 750–1000 per cent interest per year, depending on how you compound it. That sort of interest rate certainly looks ultra-usurious, and also grotesquely iniquitous, especially when you compare that with the interest rates rich corporates pay on the loans they take from commercial banks. But that pushcart vendor, no matter where in the country, hardly has a chance of getting a loan from a commercial bank. He would only be too happy to pay that 'usurious' interest because access to the loan, never mind the 1000 per cent interest rate, means livelihood to him. By regulating the interest rate that the MFIs can charge, might we be driving them out of business and running the risk of pushing impoverished households once again into the laps of even more usurious moneylenders? That was my concern.

Quite obviously, the internal discussion on the issue within the Reserve Bank was quite intense and impassioned, with the dividing line between objectivity and emotion often blurring. All through this process, I was holding no brief for the MFIs, and there was enough reason to believe from the Malegam Committee report that MFIs, especially the large and established ones, were enjoying scandalously fat margins. I asked my staff to review the cost details in the committee report once again, and after convincing myself that the risk of the entire microfinance industry winding down as a result of any interest-rate regulation was small, I decided to bite the bullet and clamped down on the maximum interest rate that MFIs could charge their borrowers.

Meanwhile, the Andhra Pradesh law on microfinance was challenged in the high court by some MFIs in which the Reserve Bank too was impleaded as a party. By the time the case came up for arguments in 2012, we had already implemented the Malegam Committee recommendation. In our submission to the high court, we took a purely pragmatic position and pleaded that the state law was in conflict with the Reserve Bank's regulatory jurisdiction and would cause a lot of confusion and disruption, eventually hurting larger public interest. We also argued that by carving out MFIs into a separate category of NBFCs (NBFC-MFI) for the purpose of